

PSI Exam Prep: Transfer of Title

STUDY SHEET

Top Takeaways

Six percent of the questions on your licensing exam will relate to transfer of title.

A. Types of Deeds

- A deed is a written and signed legal instrument of conveyance.
- The deed is the document that legally transfers (conveys) title to real property from the owner (grantor) to the new owner (grantee).
- Title officially changes hands when the grantor delivers the deed to the grantee and the grantee accepts it.

1. Types of Deeds

- The most common deed types are general warranty, special warranty, and quitclaim deeds.
- A general warranty deed (also called a full covenant and warranty deed) offers the greatest warranty to buyers and is the preferred type of deed in most situations.
- The general warranty deed provides six covenants (promises). By statute, some states have combined the covenant of seisin and the covenant of the right to convey; in those states, only five covenants exist:
- A special warranty deed typically warrants only against title defects acquired during the grantor's ownership of the property. It guarantees that the grantor owns and may convey the property, and warrants that the property is free of any debts or encumbrances not noted in the deed. A special warranty deed is most often used in conveying commercial properties.
- A bargain and sale deed is most often used in tax or foreclosure sales. It generally has no expressed warranty against encumbrances but does typically imply a warranty that the grantor has title and the right to convey.
- A quitclaim deed carries with it no warranties to the grantee. It only releases any of the grantor's property rights to the grantee. The quitclaim deed is typically used to clear up a simple cloud on title.
- Other types of deeds include court-ordered deeds, such as the executor's deed (to convey property from a decedent's estate) and a sheriff's or referee's deed (used to convey foreclosed property or property sold for tax liens).
- A deed in trust (or deed of trust) conveys real estate to a trustee for the beneficiary named in the trust agreement. For example, in states that use a non-judicial foreclosure process, the deed is conveyed to a trustee who holds it until the mortgage loan is paid in full OR until the borrower defaults and the lender must foreclose.

2. Essential Elements of Deeds

- Deeds must be in writing and must include the following elements:
 - A specifically named and identified legally competent grantor (possesses mental capacity and is of legal age). The grantor's name must be exactly the same throughout the deed.
 - A specifically named grantee who can be identified based on the name in the deed.
 - Act of conveyance (the granting clause such as "... does hereby bargain, grant, deed, and convey ...") which signifies the grantors intent to convey the property.
 - Named consideration, such as "for one dollar" or "for good and valuable consideration;" the consideration indicates that the grantor received something of value in exchange for the title.
 - A legal description
 - Any limitations or subject-to clauses. This clause describes any interest that the grantor has reserved for him-/herself. It also describes deed restrictions and encumbrances that "run with the land."
 - A habendum clause, which defines the type of interest and rights the grantee will have. Not every deed needs the habendum clause, but if the interest is less than fee simple, this is generally where it is described.
 - The grantor's signature.
 - The signed deed is delivered to and accepted by the grantee.
 - Deeds are acknowledged to be suitable for recording. Acknowledgment means that the party signing (in the case of a deed, the grantor) has gone before a competent party (typically a notary) and indicated that the signature is their own and that they signed voluntarily.

B. Title Insurance and Searches

1. Title Insurance Policies and Title Searches

- Title insurance protects buyers and lenders (through separate policies) against financial loss that might be incurred because of title defects discovered after closing.
- Sellers are required to provide clear, marketable title to properties conveyed. Title insurance protects sellers by enabling them to do so.
- The lender's policy offers protection of as much as the mortgage loan balance.
- The title policy will include a schedule of exceptions, which describes items the policy doesn't cover, such as:

- Any liens recorded after the effective date of the title policy, including mechanic's liens, taxes, and special assessments
- Any claims not shown in public records
- Claims against a title by anyone who lives or lived on the property unless there's a recorded record of tenancy
- In the event of a claim, the title company will either pay the debt or take the claimant to court. If the title company pays the claim, it may seek reimbursement from the at-fault party.
- When a covered party-such as the property owner or the lender-gives the title insurance company the right to pursue the party who caused the loss instead of the covered party, it is called subrogation.

Title Searches, Title Abstracts, Chain of Title

- The title insurance company performs a search of public records in an attempt to discover any potential claims against the property and issues a preliminary report (also called a title commitment), which is a promise to insure the property as long as certain conditions are met.
- A title abstract (abstract of title) is a summary of the property's title history. Attorneys and title companies who prepare abstracts research public records as well as other information to identify the title history.
- Few states require an abstract of title.
- The chain of title establishes the path of property ownership from its first owner to the current owner. The chain begins with the current owner and works backwards.
- The grantor-grantee index establishes chain of title. When the last grantee is not the next grantor, a gap exists in the chain. Gaps must be resolved, sometimes by branching out from public records, in order for clear title to be given.

2. Potential Title Problems and Resolutions

- A **cloud on title (title defect)** is any encumbrance, such as a lien or inheritance claim, that prevents the seller from providing clear, marketable title.
- The most common title defect in a real estate transaction is the seller's existing mortgage lien. That lien is usually resolved at closing when the seller's proceeds are used to pay off the loan.
- Other financial liens against the title may include mechanic's liens (liens filed by someone who worked on the property but didn't get paid) and property tax liens. Sellers must pay off all financial liens against the property before conveying title.
- Lack of sole ownership can create title defects. For example, if a divorce decree stipulates that one party retains ownership of the couple's property but no deed is recorded to convey the other party's ownership rights, the seller must track down the non-owner party to have that party execute a quit claim deed to clear the title.
- Unknown heirs to property conveyed upon or after the owner's death can become an issue when those heirs step forward to claim an interest in the property. Typically attorneys or the courts must step in to assist in settling this type of ownership issues.
- Taxes, unrecorded liens, and unrecorded deeds are all potential title problems that may not be discovered in a title search.

3. Marketable and Insurable Title

- The real estate industry recognizes two standards of title that may be conveyed: marketable title and insurable title. Marketable title (aka good, clear, or merchantable title) is the more rigid of the two standards.
- A **marketable title** has no defects or clouds to which a reasonable buyer would object. It's not necessarily a perfect title. Sellers can convey marketable title if the title search reveals no doubt about property ownership and there aren't any liens or encumbrances that won't be cleared at closing.
- An **insurable title** is one against which there may be known defects (such as easements), but the title company has notified the parties of the defect and has agreed to insure against it (not list it as a policy exception). As the less rigid title standard, insurable title is still acceptable to most buyers. A key concern is that sellers who offer insurable title instead of marketable title may not have to clear up title problems that come up before closing.
- Even though marketable title is the higher standard, there could be title defects that aren't discovered in even the most stringent title search. The safest decision for buyers is to receive marketable title that's backed by a title insurance policy.

C. Closing Process

1. When Transfer of Ownership Becomes Effective

- Title transfers when the grantor delivers and the grantee accepts the deed. Once the grantor's signature has been acknowledged, the deed is recorded in the land records of the jurisdiction in which the property is located.

2. Process and Importance of Recordation

- Recordation ensures that the buyer's ownership (title) is protected. It provides constructive notice of the sale/purchase, which means that the record is publicly available to anyone who does a records search. This is in contrast to actual notice, which means that the parties have personal knowledge of a particular event.

3. Settlement Procedures (Closing) and Parties Involved

- The escrow agent may be a broker, title representative, escrow officer, or attorney, though the most common is likely to be a title company representative. This individual is also called the closing agent and has many responsibilities, including:

- Properly manage any escrow funds, including distributing escrow funds (based on instructions from the parties or the court) in case of a dispute.
- Manage transaction documents and instructions from the parties.
- Perform (or delegate the performance of) the title search.
- Work with lenders and other necessary third parties to get required information.
- Manage contract instructions, broker commissions, and title policy.
- Prepare closing documents and conduct the closing meeting.
- Record required documents.
- Verify funding of buyer's loan and arrange payoff of seller's loan.
- Distribute funds.
- File 1099-S forms as necessary.
- Prorations are shared expenses that either party owes at closing are prorated (divided between) the parties depending on when closing occurs. Typical prorations include:
 - Property taxes and HOA dues
 - Fuel (propane or oil tank)
 - Water and sewer charges
 - Prorated items will be either accrued or prepaid.
- Accrued expenses are items the seller owes on closing day but that will eventually be paid by the buyer (unpaid current property taxes, for example) and appear in the seller's debit column and the buyer's credit column.
- Prepaid expenses are those already paid by the seller but that the buyer should pay a portion of (such as prepaid real estate taxes, utilities paid in advance). These items are credited to the seller and debited to the buyer.
- The TRID-required settlement statement is called the **Closing Disclosure (CD)**. Working with the lender, the closing officer prepares the CD, incorporating all the figures and calculations required for the loan and other closing costs.
- The **Real Estate Settlement Procedures Act (RESPA)** ensures that buyers receive an estimate of closing costs (on the **Loan Estimate (LE)** form) from the lender within three days of loan application and a final disclosure of closing costs (on the CD) at least three business days before closing. This gives the buyer the opportunity to compare the LE with the CD and determine what, if any, changes may have occurred.
- Together, the LE and CD form what's referred to as **TRID** : TILA/RESPA Integrated Disclosures. The Dodd-Frank Act implemented use of these forms for all federally related mortgage transactions. These forms aren't required for home equity lines of credit (HELOCs), seller financing, or reverse mortgages.
- Any interest rate increase of more than one-eighth of a percent requires a new CD, triggering a new three-day waiting period.
- The CD identifies who pays what at closing.
- A debit is a charge that a party must pay.
- Common buyer debits include appraisal and credit report fees, inspection costs, mortgage recording tax, title insurance, loan fees, attorney's fees.
- Common seller debits include transfer taxes, broker commission, attorney's fees, recording documents to clear title, existing mortgage satisfaction.
- A credit is a charge that a party has already paid, an amount that will be reimbursed, or an amount that is promised.
- Common buyer credits include earnest money, mortgage amount, seller concessions (such as a seller paying some of the buyer's closing costs).
- Common seller credits include sale price of the property, prepaid taxes or utilities.
- Lenders must provide the CD a minimum of three days before closing.
- Property transfer fees that aren't included in the sales price are called closing costs. These costs may include:
 - Loan fees
 - Appraisal and survey fees
 - Title insurance
 - Legal fees
 - Real estate commissions
 - Tax and insurance prepayments
 - Transfer fees
- The LE furnished by lenders provides an estimate of closing costs the buyer will pay.
- Property taxes are calculated based on the property's assessed value. Governments like property taxes as a revenue base because they're a stable, reliable revenue source.
- The property tax aspects of transferring real property include:
 - The calculation of property tax owed by both the buyer and seller at closing.
 - The possibility that a sale will trigger reassessment of the property and increase taxes.
 - Review of the title commitment to ensure that there are no tax liens against the property.
 - The buyer's potential income tax deduction for property taxes and mortgage interest paid.
 - The seller's potential capital gains tax paid on the financial gain resulting from the property sale. Federal tax laws may permit sellers to exclude proceeds (up to \$250,000 or \$500,000 if married and filing jointly) of the sale of their primary residence from capital gains taxes.
- In some states, a real property sale triggers a **transfer tax** that's collected at closing and payable when the deed is recorded.
- Transfer tax may be paid by either the buyer or seller, as negotiated between them.
- Transfer tax rates vary by location, but the rate is usually a percentage of the total sale price or a dollar amount per \$1,000 of the sale price.

Example

A property sells for \$350,000 with a transfer tax rate of .03%. Convert .03% to a decimal ($.03 \div 100 = .0003$). Multiply sales price by rate: $\$350,000 \times .0003 = \105 .

Example

A property sells for \$225,000 with a transfer tax rate of \$1.25 per \$1,000 of the sales price. $(\$225,000 \div 1,000) \times \$1.25 = \$281.25$.

- Be sure you know the transfer tax rate and calculation procedures in the areas where you practice.
- The purchase, ownership, and sale of real property has tax implications for buyers and sellers.
- Be sure not to overstep your bounds and give any kind of tax advice to clients. Instead, refer them to a financial expert.
- There are property tax implications for real property owners at each stage of the property ownership lifecycle: acquisition, ownership, and sale (reversion).
- Income tax implications for homeowners include:
 - Potential deduction of points paid and prepaid interest at acquisition.
 - Potential deduction of property taxes, mortgage interest, and depreciation during the ownership phase.
 - Exclusion of some or all of the gain on the sale of a personal residence, depending on circumstances.
 - When a non-U.S. resident (foreign person) sells real property in the U.S., the Foreign Investment in Real Property Tax Act (FIRPTA) requires that buyers withhold 15% of the gross sales price at closing.
 - This withholding is typically handled by the closing agent, but the buyer is responsible for ensuring that the funds are withheld and submitted to the IRS.
 - The withholding is designed to ensure that the IRS receives any capital gains tax owed on the sale. When the seller submits a U.S. tax return, the amount withheld at closing may be refunded in full or in part, depending on the taxes owed with the return.
 - A foreign person under FIRPTA is any person who is either not a resident alien (i.e., holder of a green card) or not a U.S. citizen.

4. Home and New Construction Warranties

- Home warranty programs provide peace of mind by covering system or appliance problems that may develop after a home is purchased.
- Home construction warranties for new construction generally also cover structural issues.
- Many new construction homes come with home warranties backed by the builder. These may cover workmanship and materials, as well as systems and appliances.
- On average, construction warranties cover structural damage or major construction defects (such as foundation issues) for 10 years. Major systems (heating, air conditioning, electrical, etc.) may also be covered for a period of time, such as two to five years.
- Both the FHA and VA require new-home builders to provide a Warranty of Completion of Construction to protect buyers of newly built homes financed with FHA or VA loans. The warranty assures that the property was built according to plan and protects the buyer against equipment, material, or workmanship defects. The warrantor (likely a third-party home warranty provider) agrees to repair and pay for covered defects and restore any portion of the home damaged by fulfilling warranty obligations. The one-year warranty begins when title is conveyed to the buyer, the date construction is finished, or upon occupancy, whichever is first.
- For existing homes, either buyers or sellers may purchase home warranties.
- A seller might offer a warranty because they protect sellers from any claims after closing if appliances or systems need to be fixed.
- The first course of action for disputed home warranty claims is typically mediation. If this is unsuccessful, disputed claims will go to arbitration.

D. Special Processes

1. Special Issues in Transferring Foreclosed Properties

- Foreclosure and short sale transactions may cause special title and closing issues that licensees and buyers need to take into consideration. These sales may be referred to as distressed sales, because the property owner is under financial stress to sell.
- A **foreclosure** is a property that is being sold by the lender due to the buyer's default. The lender will usually sell the property at auction after proper notice has been provided, and often after allowing the borrower the right to cure the default.
- An acceleration clause may be in effect once a borrower defaults. This clause allows the lender to make the entire loan amount due immediately.
- If the foreclosure sale doesn't cover the debt owed by the borrower, the lender may seek a deficiency judgment against the borrower to pay the shortage.
- A borrower in default may avoid foreclosure through a deed in lieu of foreclosure, which is when a borrower deeds a property back to the lender or mortgagee.

2. Special Issues in Short Sale Transactions

- A **short sale** is a property that the seller, with the lender's permission, is selling for less than the seller owes against the property.

- Licensees should encourage buyers to opt for owner's extended title coverage for all distressed property sales.
 - Properties may be in less-than-ideal condition.
 - Unpaid taxes and other liens or encumbrances are more likely to require resolution.
 - More complicated transaction paperwork and the need for additional experts, such as attorneys, may increase costs.
 - Individual states' redemption processes may permit previous owners to buy the property back during a certain period of time after the foreclosure sale. This isn't an issue with short sales.
 - Time from offer to closing may be lengthy because it takes time to work through all the processes.
 - Title issues are less common with short sales than with foreclosures.
- A third type of distressed property sale is **real estate owned (REO)**. In this type of sale, ownership has reverted to the lender because of a failed foreclosure sale or because the borrower surrendered ownership of the property to the lender through a deed in lieu of foreclosure.
 - REOs may still be subject to homeowner's rights of redemption depending on the state. Owner redemption periods have often expired by the time lenders put an REO property on the market.
 - Time from offer to closing may be lengthy because of the more complicated processes involved, including potential lender foreclosure audits to ensure that the foreclosure process was completed properly.
 - Clouds on title aren't uncommon, though lenders hoping to unload the property may clear those up before putting it on the market.

3. Special Issues in Probate Transactions

- Probate is the process of distributing and administering a deceased person's estate. An executor oversees the process and ensures that the estate's bills are paid and all money, property, etc. belonging to the decedent is properly distributed.
- If a real estate transaction involves property that belongs to a deceased person, clients/customers should seek legal advice.
- Even if the decedent left a will (aka dying testate), the operation of law can overrule what is written in the will.